

nTZS — AML/CFT & Suspicious Transaction Reporting Procedure

Prepared for: Bank of Tanzania — Pre-Testing On-Site Inspection **Sandbox Ref:** LD.170/515/02/1254 · **Prepared:** 8 July 2026
Owner: Compliance (Victor Muhagachi, CTO) · **Applies to:** Testing period 15 Jul – 16 Oct 2026

This procedure documents the customer due-diligence, transaction-monitoring, and suspicious-activity reporting controls for the nTZS sandbox, mapped to Testing Parameters 8, 10, and 11. It states the **current control state honestly** and the **committed roadmap**; nothing is represented as operational before it is.

1. Customer Due Diligence (KYC)

Wallets are onboarded in cohorts, reported by verification method — **no anonymous wallets** (Para 8(e)):

Cohort 1 — current pilot users (self-administered): - Government **national ID** captured and reviewed by NEDA compliance. - **Mobile OTP** authentication for account access. - **Blockchain wallet bound to a verified identity** (1 identity ↔ 1 wallet). - Source of TZS funds self-declared at deposit.

Cohort 2 — bank-grade (via partner bank, roadmap): - Tier-1 verification through **Selcom bank-ID**: national ID + **biometric selfie** + approved-provider checks. - **PEP screening + sanctions screening (UN / BoT / OFAC) before wallet activation.** - AML/CFT custody performed by the BoT-licensed partner bank (Para 6 & 15).

Current-state control: During the pre-KYC-uplift window, **new wallet issuance is paused** on both the direct app and the WaaS API. No new wallet can be created without KYC; existing pilot wallets are unaffected.

2. Transaction monitoring & limits (enforced in code)

CONTROL	LIMIT	STATUS
Per-transaction cap	1,000,000 TZS	Enforced
Daily aggregate per user	2,000,000 TZS	Enforced
Monthly aggregate per user (30-day rolling)	60,000,000 TZS	Enforced
Platform daily volume ceiling	100,000,000 TZS	Enforced — new transactions auto-suspend at the ceiling; BoT notified
Test cohort size	100 users	Controlled — new onboarding currently paused

Limits apply across issuance, transfers, and redemption. Breaches are rejected at the API boundary before any money moves, and are visible in the Oversight portal's Issuance Controls.

3. Enhanced Due Diligence (EDD)

EDD is triggered for high-risk customers or large/atypical transactions. It involves: collection of additional identity documents and proof of source of funds/wealth, transaction-purpose review, manual or video review, and **senior compliance sign-off** before proceeding. An EDD log is maintained and weekly EDD metrics are provided to BoT. *(Current state: manual; automated triggers land with the bank integration.)*

4. Suspicious Transaction Reporting (STR)

- Detect** — automated limit/pattern flags plus staff review surface potential suspicious activity.
- Investigate** — compliance reviews the customer, funds source, and transaction context; the account may be **frozen** (BLACKLISTER role) pending review.
- Report** — a Suspicious Transaction Report is filed with the **Financial Intelligence Unit (FIU)** within **24 hours** of detection.

4. **Record** — the report, evidence, and decision are retained; **monthly STR statistics are shared with BoT**.

During the sandbox, STR filing is channelled through the partner bank's licensed AML/CFT function; NEDA maintains the detection, investigation, and record-keeping steps above.

5. Record-keeping

All KYC records, transaction data (on-chain and off-chain), reserve movements, and AML decisions are retained and are available for BoT inspection at any time. On-chain mints/burns are permanently timestamped; off-chain references link each to its PSP and bank records.

6. Governance

- Compliance owner: Victor Muhagachi (CTO).
- Escalation: material AML events are reported to BoT and the partner bank immediately.
- This procedure is reviewed each 3-month sandbox phase and updated as the Selcom KYC/AML integration goes live.